COMPANION TO “THE IPO QUESTION NOBODY ASKS”

IPO Owner's Test

Answer from the red herring prospectus, not from memory. Tick one box per line.

IPO UNDER REVIEW ____________________

DATE / PRICE BAND ____________________

		YES	NO	DON'T KNOW
O	**Operations** Understand the business			
01 GATE	I can explain what the company sells, to whom, and why customers stay, in my own words. Where: Summary; Our Business	☐	☐	☐
02	The industry is growing and the company is holding or gaining share. Where: Industry Overview	☐	☐	☐
03	No single customer above ~25% of revenue; no single supplier, plant or geography that could stop it. Where: Risk Factors	☐	☐	☐
04	I know whether the business is cyclical and where the last three years sit in the cycle. Where: Risk Factors; MD&A;	☐	☐	☐
W	**Why the money** Fresh issue, OFS, use of proceeds			
05	I know the fresh-issue vs OFS split, and the company receives a meaningful share of the money. Where: Objects of the Offer	☐	☐	☐
06	Proceeds go to specific uses; no more than ~30% to general corporate purposes and unidentified acquisitions. Where: Objects of the Offer	☐	☐	☐
07	Selling shareholders retain a meaningful stake after the issue. Where: Capital Structure	☐	☐	☐
N	**Numbers and cash** Financial quality and cash conversion			
08	Revenue growth is consistent across three years, not a spike in the IPO year. Where: Restated Financials; MD&A;	☐	☐	☐
09 GATE	Profits turn into cash (3-yr OCF at least ~75% of PAT), or I know exactly why not and the reason convinces me. Where: Cash Flow Statement	☐	☐	☐
10	Receivable and inventory days are stable or improving. Where: Balance Sheet notes	☐	☐	☐
11	ROCE is attractive on post-issue capital and profit has no material one-offs. Where: Basis for Offer Price (KPIs)	☐	☐	☐
12	Debt is manageable after the IPO: interest cover above ~3x, pro forma net debt known. Where: Financials; Objects	☐	☐	☐
E	**Executives and promoters** Whom you are partnering with			
13 GATE	Governance is clean: no regulatory action, default or litigation that could change the business. Where: Outstanding Litigation	☐	☐	☐
14	Related-party transactions are small, at arm's length, and will shrink after listing. Where: RPT note	☐	☐	☐
15	Promoters keep a substantial post-issue stake with no or limited pledges. Where: Capital Structure	☐	☐	☐
16	The gap between insiders' weighted average cost of acquisition and the IPO price is convincingly explained. Where: Basis for Offer Price	☐	☐	☐
R	**Risks and rivals** Risk factors and peers			
17	I have read the first 20 risk factors and identified the three biggest, with numbers. Where: Risk Factors	☐	☐	☐
18	I have built my own peer set and compared growth, margins, ROCE and cash conversion. Where: Basis for Offer Price; exchanges	☐	☐	☐
S	**Sticker price** Valuation and ownership			
19	I have computed post-issue shares, market cap, diluted EPS, EV, P/E and EV/EBITDA myself. Where: Capital Structure; own maths	☐	☐	☐
20 GATE	Valuation is defensible against my peers, adjusted for growth and quality, and the implied growth is supported by the record. Where: Own calculation	☐	☐	☐
21 GATE	I would want to own this business at this valuation with no IPO, no subscription data and no GMP. Where: Own judgement	☐	☐	☐

How to read your answers

PASS	Any GATE line ticked No. However strong the rest looks, the method ends here. If you override it, write down why.
INVESTIGATE MORE	Any Don't know, or three or more No answers on non-gate lines. The “Where” column tells you which RHP section to read next.
READY TO DECIDE	All gates Yes, nothing unknown, fewer than three No answers. You have done the work. The decision, and its consequences, are yours.

My outcome: ____________________ **Biggest unresolved question:** ____________________